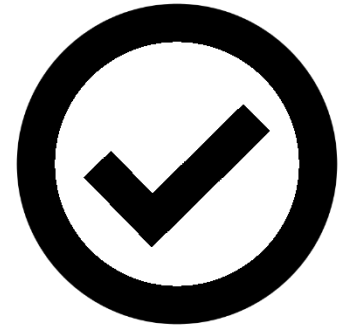




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



COLLEGE ACCOUNTING

(105)

STATE 2021

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer (26 @ 3 points each) _____ (78 points)

Problem 1: Sales Transactions _____ (88 points)

Problem 2: Income Statement _____ (100 points)

TOTAL POINTS _____ ***(306 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.
- Unless otherwise stated, assume the accrual method of accounting and a perpetual inventory system are used.

Multiple Choice (2 points each)

1. D
2. D
3. D
4. A
5. B
6. D
7. C
8. C
9. A
10. D
11. C
12. C
13. A
14. C
15. D
16. D
17. A
18. C
19. A
20. C

Short Answer (Each answer worth 3 points)

1. Using the following information, provide the complete accounting equation.

Use this information to	Solve for the missing amount.
Equity \$200,000; Assets \$360,000	L = \$160,000
Liabilities \$180,000; Assets \$320,000	E = \$140,000
Equity \$725,000; Liabilities \$350,000	A = \$1,075,000

2. Becky worked 55 hours this week and earns \$18 an hour. If Becky is in the 15% tax bracket, OASDI taxes are 6.2%, and Medicare taxes are 1.45%, what is Becky's gross pay and net pay for the week?

- A. Gross Pay **\$1,125.00**
- B. Net Pay **\$870.19**

3. Elza Golf carries an inventory of putters and other golf clubs. The sales price of each putter is \$99. Company records indicate the following for a particular line of Elza Golf's putters:

Date	Item	Quantity	Unit Cost
Apr. 1	Balance	30	\$ 45
6	Sale	20	
8	Purchase	30	55
17	Sale	30	
30	Sale	2	

	Ending Inventory, Apr. 30	Cost of Goods Sold for April
LIFO	\$360	\$2,640
FIFO	\$440	\$2,560
Weighted Average	\$420	\$2,580

4. Calculate the interest expense for the year 2020.

Principal	Interest Rate	Loan Period	Loan Origination Date	Interest Expense
\$12,000	8% APR	90 days	August 1, 2020	\$240.00
\$25,000	3% quarterly	4 years	April 1, 2018	\$3,000.00
\$9,750	12% APR	3 months	February 1, 2020	\$292.50
\$83,000	3.5% semi-annually	20 years	July 15, 2015	\$5,810.00
\$3,600	9% APR	12 months	November 1, 2020	\$54.00

5. Cash Sales for the month of January totaled \$18,560 (before sales tax), and the local sales tax rate is 8.5%. Indicate which account(s) will be debited and credited, and by how much.

Debit Account	Debit Amount	Credit Account	Credit Amount
Cash	\$20,137.60	Sales	\$18,560.00
		Sales Tax Payable	\$1,577.60

6. To remit the sales tax to the government, indicate which account(s) will be debited and credited, and by how much.

Debit Account	Debit Amount	Credit Account	Credit Amount
Sales Tax Payable	\$1,577.60	Cash	\$1,577.60

Problem 1 Sales Transactions (88 points – each answer worth 4 points)

For each of the transaction below, indicate the effect of the transaction (increase, decrease, or no effect) on Net Sales and Inventory, and indicate how much they were affected by \$ Amount. If Net Sales or Inventory was not affected by the transaction write “None” in the box.

O’Brien Co. distributes hardback books to retail store. Inventory is recorded using the FIFO method. During the month of January, the following merchandise transactions occurred.

Date	Transaction	Effect on Net Sales	Effect on Inventory
Jan. 1	Purchased 160 books on account for \$5 each (including freight) from Schumacher Publishers.	None	Increase \$800
3	Sold 120 books on account to J. Stalcup Bookstore for \$10 each.	Increase \$1,200	Decrease \$600
6	Received credit for 10 books returned to Schumacher Publishers.	None	Decrease \$50
9	Paid Schumacher Publishers in full.	None	None
15	Received payment in full from J. Stalcup Bookstore.	None	None
17	Purchased 220 books on account for \$5 each from DiSimoni Publishers.	None	Increase \$1,100
20	Sold 140 books on account to Peterson’s Bookstore for \$10 each.	Increase \$1,400	Decrease \$700
24	Received payment in full from Peterson’s Bookstore.	None	None
26	Paid DiSimoni Publishers in full.	None	None
28	Sold 90 books on account to Hendrickson Bookstore for \$10 each.	Increase \$900	Decrease \$450
30	Granted Hendrickson Bookstore credit for 20 books returned.	Decrease \$200	Increase \$100

Problem 2 – Income Statement and Analysis (100 points – each answer worth 4 points)

Complete the Income Statement and perform a vertical analysis for each line item. Round percentages to one decimal place. The corporate tax rate is 32%. Digital Solutions has 50,000 shares of common stock outstanding, and the current market price of Digital Solutions is \$39.75.

Digital Solutions			
Income Statement			
For Year Ended, December 31, 2020			
			%
Sales		\$1,458,600	100.0%
Cost of Goods Sold		816,816	56.0%
Gross Profit		641,784	44.0%
Operating Expenses:			
Selling Expense	\$36,448		2.5%
Rent Expense	70,000		4.8%
Salary Expense	58,344		4.0%
Depreciation Expense	71,825		4.9%
Bad Debt Expense	11,345		0.8%
Total Operating Expenses		247,962	17.0%
Income from Operations		393,822	27.0%
Gain on Sale of Equipment		5,600	0.4%
Interest Expense		16,000	1.1%
Income Before Taxes		383,422	26.3%
Income Tax Expense		122,695	8.4%
Net Income		\$260,727	17.9%

- What is the Gross Profit Percentage? **44.0%**
- What is the Profit Margin? **17.9%**
- What is the EPS? **\$5.21**
- What is the P/E Ratio? **7.6**